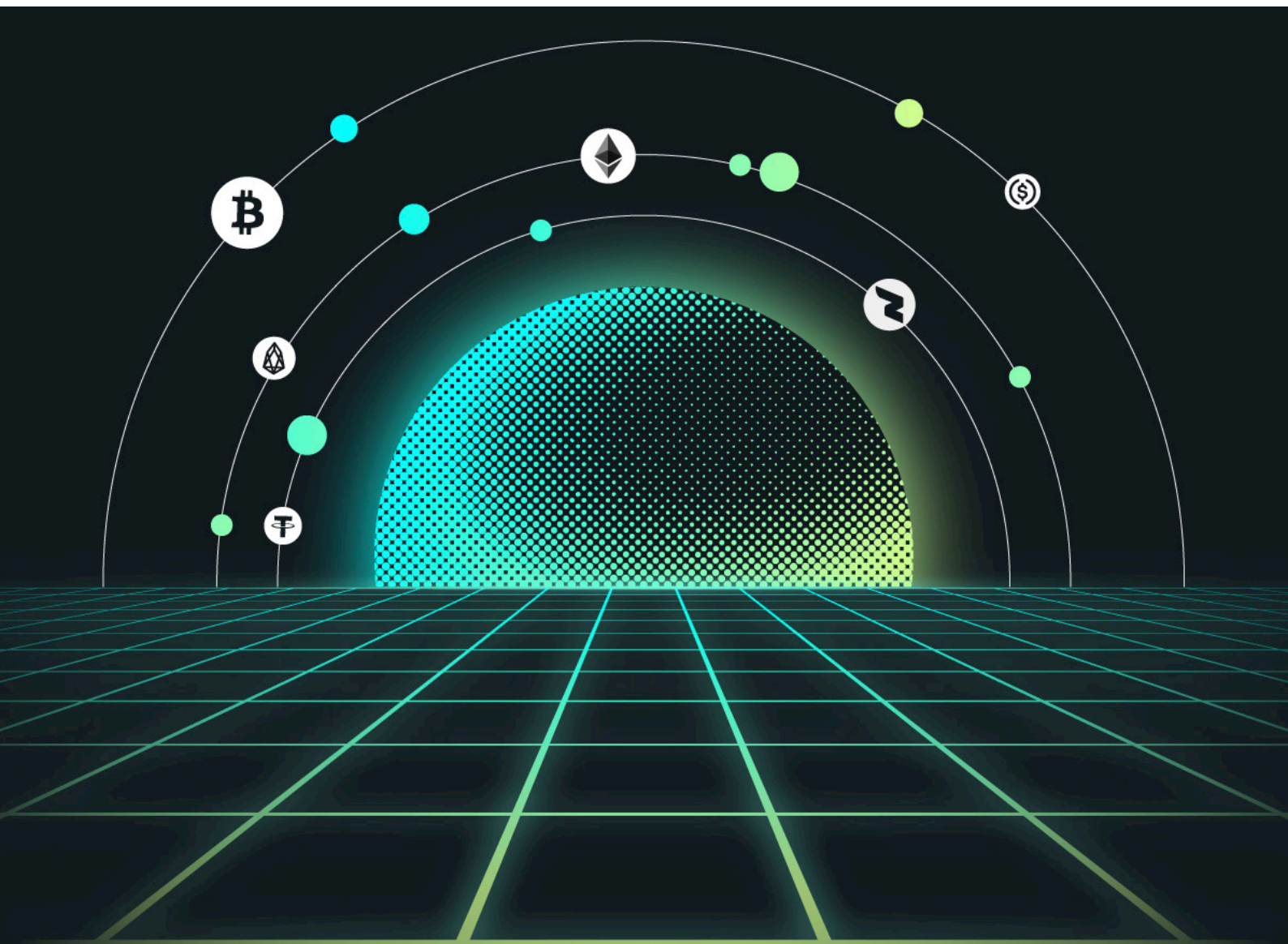


Global crypto regulation review 2025

Navigating the evolving landscape
of global crypto regulation and compliance



ELLIPTIC

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INTRODUCTION

Global crypto regulation review 2025

The year 2025 marked a shift in global cryptoasset regulation as jurisdictions moved away from enforcement-led approaches. Instead of focusing primarily on punishing non-compliance, governments embedded comprehensive legislative frameworks supported by clear guidelines aimed at fostering responsible innovation.

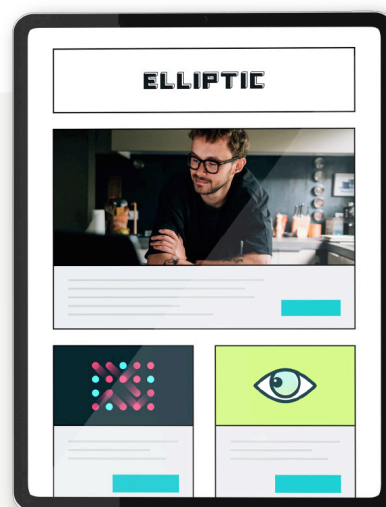
The United States led this transformation with landmark stablecoin legislation and policy shifts that have revived optimism that the US can be a leading source of cryptoasset innovation and growth.

Elsewhere, stablecoin issuers and cryptoasset service providers are now operating fully under the European Union's MiCA regime, Hong Kong rolled out important frameworks aimed at fostering innovation through stablecoins and tokenized assets and regulators in the United Arab Emirates continued to set the pace in the Middle East region for developing robust, but innovative supervisory approaches.

This regulatory evolution was accompanied by accelerating institutional participation in the cryptoasset ecosystem, contributing to an increasingly mature, structured and transparent market environment. While these developments provided greater certainty for businesses operating in the space, they also introduced new challenges for firms navigating multiple jurisdictions with varying requirements.

Crypto regulatory affairs newsletter

Elliptic's [crypto regulatory affairs newsletter](#) provides a fortnightly update of policy progress and legal action related to cryptoassets around the globe. This report looks back on 2025 to assist compliance professionals in deciphering key trends and developments in crypto regulation around the world, as well as region-by-region, better enabling them to prepare for the coming year as we head into 2026.



2025 saw significant developments across three key areas: the US policy shift to promote cryptoasset innovation, the banking sector's integration with cryptoassets and the global maturation of stablecoin regulation.

01. US policy shifts to promote cryptoasset

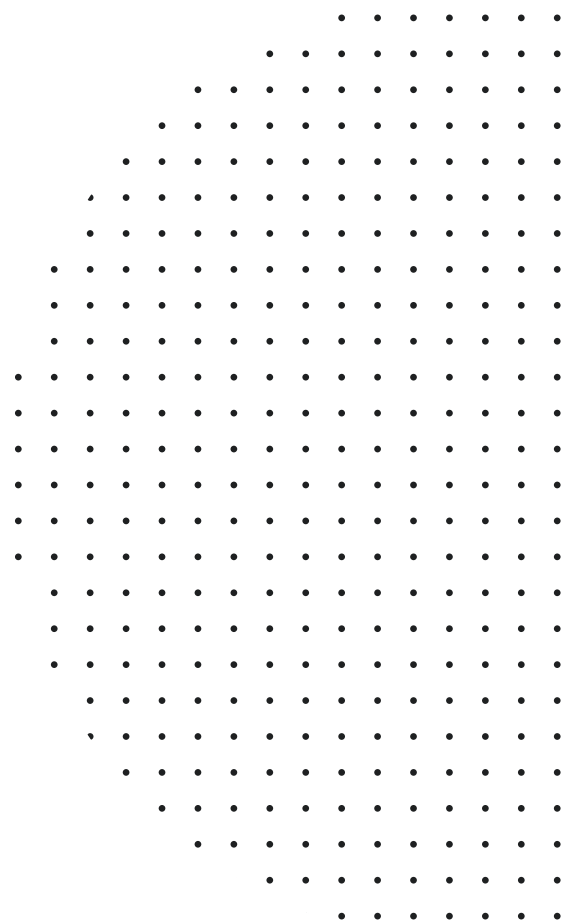
innovation. Upon taking office in January, President Trump declared that establishing US leadership in cryptoassets was one of his top policy priorities. This enabled the US to achieve a major legislative breakthrough in July, when President Trump signed the GENIUS Act into law, establishing the first federal stablecoin framework. The US government also undertook a wholesale shift away from enforcement-led regulation to promoting clear, comprehensive frameworks and engagement with industry. For example, the Department of Justice ended "regulation by prosecution" and the SEC established a Crypto Task Force to develop clear regulatory pathways. While its timeline to becoming law remains unclear, the CLARITY Act also advanced in Congress during this year, providing a potential foundation for delineating SEC and CFTC oversight of digital asset markets. This policy transformation has positioned the US as a global leader in crypto innovation and has forced other countries to prioritize their own digital asset-led innovation efforts in an effort to keep pace.

02. Traditional banking institutions gained regulatory approval to engage with cryptoassets at unprecedented scale.

US banking regulators reversed restrictive policies that had effectively barred banks from offering crypto-related services, with comprehensive guidance issued on cryptoasset safekeeping and custody services. Elsewhere around the world, such as in the EU and Hong Kong, major financial institutions began planning stablecoin issuance and custody offerings, marking a structural shift in institutional participation in the cryptoasset ecosystem. Clearer and comprehensive regulation is giving traditional financial institutions more confidence to engage with the cryptoasset space. The presence of these established players in the market is also enabling greater maturation of the space.

03. Stablecoin regulation matured globally, with multiple jurisdictions implementing comprehensive frameworks.

Just after the US GENIUS Act became law, Hong Kong launched its stablecoin regulatory regime with robust AML/CFT standards, while countries such as the UK and South Korea continued to develop and advance their own planned frameworks. The Wolfsberg Group issued guidance opening doors to bank partnerships with stablecoin issuers. This coordinated global focus reflected stablecoins' growing importance in cross-border payments and the broader financial system, with regulators emphasizing reserve requirements, redemption standards and financial crime controls.



The global view

The year 2025 saw international financial standard-setting bodies adapt their oversight frameworks to address the growth of crypto markets and stablecoins' expanding role in payment systems.

The Financial Stability Board prioritized stablecoin oversight under new leadership. Bank of England Governor Andrew Bailey, taking over as FSB Chair in July, identified the increasing role of stablecoins for payment and settlement purposes as a key focus area. The FSB's October thematic review of its 2023 global regulatory framework for crypto-assets revealed the urgency of this work, finding significant gaps and inconsistencies in how jurisdictions had implemented the standards. According to the FSB, this uneven adoption creates opportunities for regulatory arbitrage and complicated oversight of inherently global crypto markets.

The FATF continued monitoring virtual asset risks and compliance progress. In June 2025, the FATF published its sixth targeted update on global implementation of its AML/CFT Standards for cryptoassets. The FATF found that jurisdictions around the world are making important progress in developing and implementing its Standards, with 99 jurisdictions having passed, or taken steps to pass, measures implementing the Travel Rule data sharing requirement for cryptoassets. The report also noted that stablecoins now account for the majority of on-chain illicit activity. The report identified trends including North Korea's record \$2 billion in crypto thefts and estimated \$51 billion in on-chain fraud and scam activity during 2024. It also noted growing use of stablecoins by terrorist financiers and drug traffickers. The FATF indicated that it intends to publish a dedicated report on stablecoins early in 2026.

International law enforcement cooperation to disrupt cryptoasset crime intensified. For example, the US, South Korea and Japan issued joint warnings on North Korea's crypto thefts, identifying over \$600 million stolen in 2024 alone. This trilateral coordination underscored growing recognition that crypto-related financial crime requires cross-border collaboration between regulators, law enforcement and the private sector. The US, UK and EU countries also worked closely to coordinate actions aimed at disrupting Russian sanctions evasion using cryptoassets. As the cryptoasset space grows in

scale and global reach, cooperation of this sort among governments around the world to disrupt crime is becoming increasingly important.

The Wolfsberg Group opened doors to bank partnerships with stablecoin issuers. In September 2025, the Wolfsberg Group — an association of 12 major global banks — published guidance on providing banking services to stablecoin issuers. The guidance established principles for applying existing AML/CFT risk management frameworks to stablecoin issuer relationships, signaling growing acceptance of stablecoins within traditional financial institutions. This represented a significant shift in institutional banking's willingness to engage with digital assets, particularly as regulatory frameworks for stablecoins matured globally.

Expert perspective

"Global coordination on policy objectives and regulatory standards has always been a major challenge – especially when dealing with a technology that changes as rapidly as cryptoassets. This past year, however, has seen important progress on this front, with growing alignment in particular on standards related to stablecoins. This has been enabled, in large part, because of the maturation of the industry, as well as the willingness of policymakers to engage fully in understanding the technology. As we head into 2026, it will be critical for public and private sector stakeholders to maintain an effective, transparent dialogue so they can continue to address other emerging issues."



David Carlisle, VP of Policy and Regulatory Affairs, Elliptic

CRYPTO REGULATION BY REGION

Americas

☆ KEY TRENDS

Key trends in cryptoasset regulation across the Americas included a fundamental policy transformation in the United States that established new global benchmarks, the implementation of comprehensive VASP registration frameworks in multiple jurisdictions, and varied approaches to balancing innovation with oversight based on different economic contexts and policy priorities

Argentina



In Argentina, President Javier Milei's administration balanced pro-crypto policies with enhanced oversight requirements, navigating tension between innovation and consumer protection.

📅 REGULATORY TIMELINE

● February 2025

February 14: The Milei-Libra scandal erupted when President Javier Milei appeared to endorse the Libra token on social media, leading to rapid price

volatility. The controversy highlighted regulatory gaps and accelerated calls for enhanced oversight of crypto marketing and consumer protection.

● March 2025

March 14: The Argentine senate approved modifications to anti-money laundering and counter-terrorism financing laws, establishing the framework for mandatory VASP registration.

The National Securities Commission (CNV) was designated as the primary regulatory authority for virtual asset service providers.

May 2025

May 30: The deadline passed for individuals and businesses to submit sworn declarations of assets under the blanqueo asset regularization program, which included previously undeclared virtual assets.

June 2025

June 11: The Securities and Exchange Commission issued General Resolution No. 1069/2025, introducing the first regulatory framework for tokenization of real-world assets. The resolution

established rules for tokenizing marketable securities through distributed ledger technology, aiming to modernize Argentina's capital market through blockchain integration.

Canada



REGULATORY TIMELINE

January 2025

January 8: Shakepay became the first Quebec-based crypto trading platform to achieve membership with the Canadian Investment Regulatory Organization (CIRO),

providing customers with enhanced protections including coverage up to CA\$1 million through the Canadian Investor Protection Fund.

April 2025

April 17: The Canadian Securities Administrators published final amendments to National Instrument 81-102 Investment Funds pertaining to reporting issuer investment funds that invest

in crypto assets. The amendments established criteria for permitted crypto assets, restrictions on crypto investments and custody requirements, set to come into force on July 16, 2025.

October 2025

Canada's Financial Transactions and Reports Analysis Centre (FINTRAC) imposed its largest-ever monetary penalty against a cryptoasset firm, fining the Cryptomus exchange service more than CA\$176 million (approximately \$126 million USD) for AML/CFT violations. FINTRAC found

that Cryptomus failed to submit suspicious transaction reports for transactions involving child sexual abuse material trafficking, fraud, ransomware payments and sanctions evasion.



Chile continued implementing its 2023 Fintech Law throughout 2025, with crypto service providers meeting registration deadlines and new compliance measures taking effect.

REGULATORY TIMELINE

February 2025

February 3: The registration deadline arrived for crypto service providers to complete their applications with the Financial Market Commission (CMF) under [Chile's 2023 Fintech Law](#) (Law No. 21,521).

March 2025

March 19: The Financial Analysis United (UAF) issued [Circular No. 62](#), updating the Compilation of Rules (RAN) to strengthen measures preventing money laundering, terrorism financing and proliferation financing

of weapons of mass destruction. The regulation mandated enhanced risk analysis of suspicious transactions and increased KYC thresholds, with full implementation set for June 1, 2025.



REGULATORY TIMELINE

January 2025

January 30: El Salvador's Legislative Assembly [passed a bill](#) modifying the country's Bitcoin adoption strategy to comply with IMF loan requirements. Under the new legislation, businesses are no longer required to accept

Bitcoin, but can determine whether to do so voluntarily. This change was made to enable El Salvador to comply with the terms of a \$1.4 billion loan from the IMF.

Paraguay



REGULATORY TIMELINE

● March 2025

March 7: Paraguay's Secretariat for the Prevention of Money Laundering (SEPRELAD) signed a [Memorandum of Understanding](#) with El Salvador's National Commission of Digital Assets (CNAD). The agreement established cooperation frameworks for supervising

cryptocurrency-related activities, detecting and controlling unlicensed crypto operations, and strengthening anti-money laundering practices.

United States



The US transitioned from an enforcement-led approach toward the cryptoasset industry to an innovation-driven policy stance aimed at promoting competitiveness and growth. The Trump administration's return catalyzed this change, with federal agencies reversing restrictive policies and Congress passing landmark legislation. This represented a fundamental departure from the previous regulatory environment, where the industry had long criticized the lack of regulatory clarity and key agencies' heavy reliance on enforcement actions.

☆ KEY REGULATORY AND POLICY TRENDS INCLUDE:

- **The passage of federal crypto legislation marked a historic breakthrough.**

In July, President Trump signed the [GENIUS Act](#) into law, establishing the first comprehensive federal framework for stablecoin regulation. The [CLARITY Act](#), which aims to delineate regulatory authority between the SEC and CFTC, passed the House and moved to the Senate. While (at the time of writing) the CLARITY Act still faces procedural and political hurdles to pass Congress and become law, these legislative achievements addressed longstanding industry calls for regulatory clarity at the federal level and have helped give market participants confidence that the US can be a reliable home to innovation.

- **The Department of Justice fundamentally shifted its enforcement approach.**

In April, Deputy Attorney General Todd Blanche [issued a memorandum](#)

ending "regulation by prosecution," disbanding the National Cryptocurrency Enforcement Team and redirecting prosecutorial focus toward fraud cases that victimize investors and the use of digital assets to facilitate serious crimes such as terrorism and drug trafficking, rather than targeting exchange platforms for regulatory violations.

- **The SEC pivoted from enforcement to rulemaking and industry engagement.**

Early in the year, Acting Chairman Mark Uyeda [established a Crypto Task Force](#) led by Commissioner Hester Peirce to develop clear regulatory frameworks. The SEC closed high-profile enforcement cases against major crypto firms and signaled plans to establish innovation exemptions through formal rulemaking, marking a stark contrast to the previous administration's approach.

REGULATORY TIMELINE

January 2025

Jan 8: The IRS published implementing regulations clarifying tax reporting requirements for cryptoasset brokers, including DeFi protocols. The rules implement provisions of the Infrastructure Investment and Jobs Act, requiring brokers to report on US taxpayers' transactions and provide Form 1099s. The Blockchain Association, DeFi Education Fund, and Texas Blockchain Council filed a lawsuit challenging the regulations the same day.

January 20: President Trump was inaugurated, marking the beginning of a new stance on crypto policy.

January 21: Acting SEC Chairman Mark Uyeda announced the formation of a Crypto Task Force led by Commissioner Hester Peirce, signaling a shift away from enforcement-led regulation.

January 23: President Trump signed an executive order titled "Strengthening American Leadership in Digital Financial Technology," establishing crypto as a national priority and addressing the debanking of crypto firms.

January 29: Federal Reserve Chair Jerome Powell stated that banks should be able to serve crypto businesses where they can demonstrate proportionate and effective risk management capabilities.

Throughout January: The DOJ charged operators of the Sinbad and Blender mixers with money laundering, while the US, South Korea and Japan issued a joint warning identifying over \$600 million in North Korean crypto thefts in 2024. The NYDFS issued a warning on meme coins, highlighting their risks for market manipulation.

February 2025

February 21: The SEC closed high-profile investigations into Robinhood and OpenSea without taking further action and dismissed claims against Coinbase.

February 27: The SEC announced a policy stance that it does not regard memecoins to be securities.

Throughout February: The FDIC indicated it was reviewing its supervisory approach toward banks' digital asset activities.

March 2025

March 2: President Trump announced via social media that the US will establish a crypto strategic reserve initially comprising Bitcoin, Ethereum, Ripple, Solana, and Cardano. The announcement came ahead of the first White House Crypto Summit on March 7.

March 7: The OCC issued Interpretive Letter 1183, clarifying that national banks and federal savings associations may engage in cryptoasset custody, provide stablecoin reserve backing, use stablecoins for payments and act as node validators without seeking prior supervisory non-objection. This reversed Biden-era policy that had effectively barred banks from crypto engagement. The SEC rescinded Staff Accounting Bulletin 121, which had discouraged banks from offering cryptoasset custody services.

March 13: The Senate Banking Committee voted to approve the GENIUS Act, marking significant progress toward federal stablecoin legislation.

Throughout March: President Trump granted pardons to BitMEX and its co-founders. Additionally, The House Ways and Means Committee voted 26-16 to repeal IRS tax reporting regulations for DeFi protocols that the industry argued were overly broad. The Blockchain Association sent a letter with signatures from industry leaders calling for repeal. Senator Ted Cruz proposed similar legislation in the Senate.

April 2025

April 7: Deputy Attorney General Todd Blanche issued a memorandum titled "Ending Regulation by Prosecution," which disbanded the National Cryptocurrency Enforcement Team effective immediately and redirected prosecutorial focus toward fraud cases and use of digital assets for serious crimes rather than regulatory violations.

April 24: The Federal Reserve and FDIC announced they were joining the OCC in withdrawing joint statements that had effectively restricted banks' ability to engage in crypto-related activities.

May 2025

May 15: The SEC's Division of Trading and Markets, along with FINRA, withdrew a 2019 joint statement that had effectively prevented broker-dealers from custodizing digital asset securities.

May 28: The Department of Labor issued guidance rescinding its 2022 caution against including cryptocurrency options in 401(k) plan investment menus.

June 2025

June 17: The Senate passed the GENIUS Act by a comfortable margin of 68-30, with bipartisan support. The legislation established a framework for stablecoin regulation, requiring full reserve backing and creating federal and state-level oversight based on market capitalization thresholds.

June 23: NYDFS issued guidance amid escalating global conflicts, reiterating obligations for cybersecurity, sanctions compliance, and virtual currency monitoring. The guidance emphasized use of blockchain analytics to identify addresses associated with OFAC-sanctioned persons.

June 25: FHFA Director William Pulte issued an order directing Fannie Mae and Freddie Mac to establish policies for considering cryptoassets held on US regulated exchanges as reserves when assessing risk on single-family mortgage loans.

July 2025

July 14: The OCC, FDIC, and Federal Reserve issued comprehensive joint guidance on risk management for cryptoasset safekeeping activities by banking organizations.

July 17: The House passed the CLARITY Act, which aims to delineate regulatory authority between the SEC and CFTC and establish comprehensive rules for the oversight of cryptoasset markets.

July 18: President Trump signed the GENIUS Act into law, establishing the first comprehensive federal framework for stablecoin regulation

Jul 30: The President's Working Group on Digital Asset Markets published "Strengthening American Leadership in Digital Asset Technology," a comprehensive report outlining policy, legislative, and regulatory priorities including market structure legislation, banking engagement, IRS guidance, and modernized AML/CFT rules.

Jul 31: SEC Chairman Paul Atkins delivered a speech unveiling "Project Crypto," a framework for establishing America as the "crypto capital of the world." Key principles include assuming most cryptoassets are not securities, maximizing investor choice in trading and custody, and enabling "super-apps" for multiple services through single licenses.

Expert perspective

"The GENIUS Act shifts the conversation from 'if' stablecoins belong in mainstream finance to 'how' they operate under clear federal oversight. This moves serious issuers out of regulatory shadows and makes the US a more attractive jurisdiction, where competition centers on distribution, resilience and responsible innovation rather than regulatory arbitrage. It also creates a reliable foundation for developers to build complex applications on top of stable, redeemable instruments, strengthening the dollar's digital reach. Looking ahead, the future of digital assets will be shaped less by adversarial rulemaking and more by public-private partnerships where supervisory insight combines with technical expertise to raise standards without stifling innovation."



Liat Shetret, VP of Global Policy and Regulation, Elliptic

August 2025

August 4: FinCEN issued a warning on crypto ATM fraud, noting a 31% year-over-year increase in reported frauds. OFAC sanctioned entities involved in Russia's A7A5 ruble-backed stablecoin scheme.

August 6: A federal jury convicted Roman Storm, co-founder of Tornado Cash, of operating an unlicensed money service business, raising complex questions about developer liability in decentralized finance.

August 7: President Trump issued an executive order directing federal agencies to reevaluate guidance to enable retirement plan fiduciaries to invest in cryptoassets.

August 19: Wyoming became the first US state to launch an official dollar-backed stablecoin, the Frontier Stable Token.

September 2025

September 2: The SEC and CFTC issued a joint statement clarifying their coordinated approach to trading of cryptoasset spot products, indicating CFTC-registered DCMs/FBOTs and SEC-registered NSEs are not prohibited from listing certain spot retail cryptoasset products.

September 10: OCC Comptroller Jonathan Gould stated at CoinDesk's Policy and Regulation conference that the OCC will end de-risking practices that prevented cryptoasset firms from accessing banking services and will implement key GENIUS Act provisions for supervising stablecoin issuers.

September 18: The Treasury Department issued an Advanced Notice of Proposed Rule Making seeking public comments on GENIUS Act implementation, covering topics including payment stablecoin definitions, reserve requirements, illicit finance considerations, and foreign issuer equivalency standards.

September 22: Treasury Secretary Scott Bessent and UK Chancellor Rachel Reeves announced the Transatlantic Taskforce for Markets of the Future, a cooperative initiative to promote US-UK collaboration on digital assets. The Taskforce will produce a report within 180 days outlining collaboration opportunities.

October 2025

October 7: SEC Chairman Paul Atkins announced plans to initiate formal rulemaking for an "innovation exemption" by late 2025 or early 2026, potentially providing exemptions for token issuance, airdrops, and certain tokenization activities.

CRYPTO REGULATION BY REGION

EMEA

☆ KEY TRENDS

Key trends in EMEA crypto regulation included the full implementation of MiCA across EU member states, the UK's progression toward new crypto legislation and continued regulatory development in Middle Eastern jurisdictions including the UAE and Jordan. The EU and UK ramped up sanctions targeting Russia's sanctions evasion involving cryptoassets.

European Union



The EU's Markets in Crypto-Assets (MiCA) Regulation's provisions for cryptoasset service providers (CASPs) became fully operational on December 30, 2024. Throughout 2025, member states implemented transitional measures while EU authorities finalized technical standards in an effort to ensure consistent application across the bloc.

☆ KEY REGULATORY AND POLICY TRENDS INCLUDE:

- **MiCA's provisions for CASPs took effect across all EU member states.** From December 30, 2024, MiCA's provisions for CASPs came into effect across the entire EU, following the June 2024 implementation of stablecoin-related requirements. The regulation established requirements for licensing, market conduct, consumer protection and prudential standards. Member states implemented transitional measures allowing existing firms to continue operations while seeking MiCA authorization, with transition periods extending until July 2026 in some jurisdictions.
- **Passporting provisions enabled EU-wide market access from single authorizations.** Under MiCA's framework, firms obtaining authorization from one EU member state's competent authority could passport their services across the entire EU without additional licenses. This created opportunities for regulatory arbitrage, with jurisdictions like France, Germany and the Netherlands positioning themselves as preferred licensing hubs through streamlined approval processes.

REGULATORY TIMELINE

June 2025

Jun 4: At a CoinTelegraph conference, Vyara Savova, senior policy lead at the European Crypto Initiative (EUCI), indicated that the EU will begin looking at whether or how to address specific challenges related to DeFi from mid-

2026. She noted that DeFi services and platforms currently fall outside MiCA's scope, and that the EU will not pursue a "MiCA-II" update but may pursue separate legislative updates for issues such as DeFi, NFTs, and other innovations.

August 2025

August 22: The ECB stated it is speeding up plans to develop a digital euro, considering launching it using Ethereum or Solana blockchains. The ECB intends to announce decisions on the technology

architecture and go-live date of the digital euro by the end of 2025. This move reflects the ECB's response to the US GENIUS Act and growing dominance of USD-backed stablecoins..

September 2025

September 3: ECB President Christine Lagarde stated in public remarks that the ECB is concerned about "gaps" in MiCA involving stablecoins jointly issued by an EU-based entity and a non-EU entity ("multi-issuance schemes"). She proposed

that Europe should pass new legislation to enhance MiCA so these schemes face liquidity management rules similar to banking groups and implement equivalency regime standards.

October 2025

October 6: ESMA chair Verena Ross indicated in a Financial Times interview that the European Commission is seeking to formally shift greater responsibility for oversight of cryptoasset markets from national-level authorities to ESMA. This would create more harmonized regulatory standards and reduce competition among member states that could undercut market growth.

October 6: ESMA, the ECB, and the European Insurance and Occupational Pensions Authority (EIOPA) issued a joint warning to consumers, describing cryptoassets as "highly risky and speculative" instruments not suitable for most retail consumers. They warned investors could risk losing all their money and provided practical tips for evaluating risks including scams and frauds.

Throughout 2025

Ongoing: Member states implemented varying transitional measures under Article 143 of MiCA, with some jurisdictions offering transition clauses allowing firms to continue operations until July 2026 or until receiving MiCA authorization. Compliance rates varied significantly across member states.

Ongoing: EU policymakers raised concerns about inconsistent application of MiCA across member states. Discussions continued regarding MiCA 2 to address areas including staking, lending, borrowing and decentralized finance protocols not covered in the initial regulation.

- **October 23:** The Council of the European Union adopted its 19th package of sanctions targeting Russia, explicitly prohibiting EU persons from engaging in any transactions, directly or indirectly, involving the A7A5 ruble-

backed stablecoin. The sanctions also designated three entities involved in A7A5's issuance and distribution: Grinex, Old Vector LLC and A7 LLC (previously sanctioned by the US and UK in August).

France



REGULATORY TIMELINE

- **Throughout 2025**

Ongoing: France positioned itself as the most notable and vocal EU member state seeking to become a crypto hub under MiCA, promoting itself as a trustworthy jurisdiction where CASPs can establish operations with a reliable pathway to licensure.

However, by September, the French government threatened not to honor the passporting rights of cryptoasset firms registered elsewhere in the bloc, arguing that other countries are implementing lower licensing standards to attract business.

Jordan



REGULATORY TIMELINE

- **January 2025**

January 26: The cabinet of Prime Minister Jaafar Hassan approved a plan for Jordan to develop a digital assets regulatory framework. The plan mandates that the Jordan Securities

Commission (JSC) establish a regime for licensing and supervision of VASPs that aligns with FATF AML/CFT standards. The announcement followed a year-long study by a ministerial committee.

Kenya



REGULATORY TIMELINE

- **June 2025**

January 24: The Central Bank of Kenya (CBK) launched a public consultation on a proposed national strategy for the oversight of cryptoassets, accepting comments through January 24. The draft framework identifies

high-level initiatives including development of comprehensive AML/CFT frameworks, consumer protection and market conduct regulation, capacity building for regulatory agencies, and approaches to promoting innovation."

Luxembourg



REGULATORY TIMELINE

● June 2025

June 20: Coinbase announced that it received a license from the Luxembourg Commission de Surveillance du Secteur Financier (CSSF) to operate under the EU's MiCA regulatory framework.

Coinbase described Luxembourg as "a forward-thinking financial hub, demonstrating an unwavering commitment to fostering innovation."

United Arab Emirates



The UAE continued to solidify its position as a leading hub for cryptoasset innovation in the Middle East throughout 2025, with regulatory bodies across multiple jurisdictions taking coordinated steps to create clear frameworks that balance innovation with investor protection.

The country's multi-regulator approach — with the Dubai Financial Services Authority (DFSA) overseeing the Dubai International Financial Centre (DIFC), the Virtual Assets Regulatory Authority (VARA) supervising crypto activity in the rest of Dubai and the Financial Services Regulatory Authority (FSRA) managing Abu Dhabi Global Market — enabled tailored regulatory solutions for different market segments while maintaining consistently high standards.

A key focus for UAE regulators was the approval of major stablecoins for domestic use and the expansion of services from established global crypto firms. The year also saw increased enforcement activity.

REGULATORY TIMELINE

● February 2025

February 24: The DFSA approved Circle's USDC and EURC stablecoins as approved crypto tokens within the DIFC. As a result of the approval, cryptoasset service providers,

banks and financial institutions registered in the DIFC can offer users access to these

● March 2025

March 13: The DFSA approved Ripple to provide cryptoasset payment services within the DIFC, marking the first regulatory license for the firm in the Middle East.

June 2025

June 10: The FSRA of Abu Dhabi published amendments to its Digital Asset Regulatory Framework with immediate effect. The amendments cover: Revising the process for determining Accepted Virtual Assets

(AVAs), establishing capital requirements and fees, reinforcing prohibitions on privacy tokens and algorithmic stablecoins and expanding the scope of virtual asset investments for Venture Capital firms.

October 2025

October 7: VARA published a notice confirming it had imposed penalties on 19 firms providing cryptoasset services in Dubai without a VARA license. VARA maintains a list of unlicensed firms to inform the public about unauthorized entities.

United Kingdom



Following the Labour government's election victory in July 2024, the UK signaled its policy direction for crypto regulation early in 2025, focusing on making sure that new frameworks support innovation that can boost the UK's competitiveness on the global stage. The government consulted with the private sector on planned frameworks for stablecoins and cryptoassets, marking the first significant indication of the new administration's approach to digital assets.

HM Treasury published draft legislation establishing a regulatory framework for cryptoassets. The Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous Provisions) (Cryptoassets) Order 2025 created new regulated activities for stablecoin issuance and cryptoasset safeguarding, requiring FCA authorization for firms providing these services to UK customers.

The FCA reversed its 2021 ban on crypto exchange-traded notes for retail investors, citing enhanced market oversight through its AML/CFT and financial promotions regimes as creating sufficient investor protection. The government announced concurrent tax treatment changes allowing crypto ETNs to be held in tax-free savings accounts and pension schemes.

REGULATORY TIMELINE

January 2025

Throughout January: The UK government signaled its intention to consult with the private sector on planned regulatory frameworks for stablecoins and cryptoassets from early 2025, marking the first significant policy indication from the Labour government following its July 2024 election victory

February 2025

February 11: Bank of England Governor Andrew Bailey offered remarks indicating stablecoins will require tailored regulatory approaches with a "high bar" for standards given potential financial stability

risks. Bailey also indicated the BoE has not ruled out the possibility of launching a CBDC, announcing the launch of a Digital Pound Lab in January to study benefits, costs, and technical considerations.

April 2025

April 29: HM Treasury published draft legislation for the UK's regulatory regime for cryptoassets. The Financial Services and Markets Act 2000 (Regulated Activities and Miscellaneous

Provisions) (Cryptoassets) Order 2025 established new regulated activities for stablecoin issuance and cryptoasset safeguarding, with technical comments due by May 23.

June 2025

June 6: The FCA announced plans to lift its ban on crypto exchange-traded notes for retail investors, proposing that cETNs be permitted on regulated investment exchanges subject to financial promotion rules. The announcement followed an earlier consultation launched in June.

July 2025

July 21: The UK HM Treasury's Office of Financial Sanctions Implementation (OFSI) published its first-ever Cryptoassets Threat Assessment, concluding that UK cryptoasset firms have likely underreported sanctions breaches since August 2022. OFSI identified three key threats: the defunct Russian exchange Garantex and successors,

Iranian exchanges connected to designated persons, and North Korean cybercrime/IT workers. The report provided detailed recommendations for firms, including screening transactions for sanctions exposure at 3-5 hops and establishing risk-based monitoring procedures.

October 2025

Oct 3: Bank of England Governor Andrew Bailey delivered a speech noting stablecoins are distinct from other cryptoassets and that regulatory responses should acknowledge this to "enable better stablecoins to emerge."

October 8: The FCA lifted its ban on crypto exchange-traded notes for retail investors, reversing its 2021 prohibition. The regulator cited enhanced market oversight through AML/CFT and financial promotions regimes as creating sufficient investor protection. The government announced concurrent tax treatment changes allowing crypto ETNs in tax-free accounts.

CRYPTO REGULATION BY REGION

APAC

☆ KEY TRENDS

Key trends in APAC included diverging regulatory approaches, with some jurisdictions facilitating institutional participation and stablecoin adoption while others maintained restrictive stances due to regulatory arbitrage concerns.

Several countries took steps to try and bolster their competitiveness relative to regional leaders, updating their frameworks to enable greater innovation while others focused on achieving international compliance standards to secure removal from FATF watchlists.

Australia



Australian regulators took important steps in 2025 to address concerns that the country was falling behind regional competitors in establishing comprehensive cryptoasset frameworks. While jurisdictions like Hong Kong, Singapore and South Korea had moved quickly to implement regulatory regimes, Australia's oversight had remained limited primarily to AML/CFT supervision, leaving gaps in consumer protection and market conduct standards.

In response, regulators pursued a dual approach: Providing regulatory relief to accelerate stablecoin adoption while simultaneously consulting on broader legislative frameworks for digital asset platforms and custody providers. This strategy

reflected Australia's attempt to balance the need for rapid action with the development of robust, comprehensive oversight structures that would position the country more competitively in the Asia-Pacific digital asset landscape.

REGULATORY TIMELINE

September 2025

September 18: ASIC announced class relief for intermediaries involved in the secondary distribution of stablecoins issued in Australia by a licensed firm. Distributors such as cryptoasset exchanges will not need a separate Australian Financial Services (AFS) license to list stablecoins, provided they provide appropriate disclosures to clients. ASIC stated this will promote innovation by enabling faster consumer access to stablecoins.

September 24: The Australian government launched a consultation on legislative proposals to regulate cryptoasset trading platforms and custodians of tokenized assets, running until October 24.

The proposals would create new definitions of "digital asset" and "digital token" and require digital asset platforms (DAPs) and tokenized custody platforms (TCPs) to obtain AFS licenses from ASIC. Currently, cryptoasset exchanges and custodians only face AML/CFT supervision. The new measures would add consumer protection and market conduct oversight.

September 25: ASIC proposed extending the class relief for stablecoin intermediaries so it will apply to future approved stablecoins beyond the currently approved AUDM stablecoin issued by Catena Digital.

China



REGULATORY TIMELINE

August 2025

August 21: Reuters reported that Chinese policymakers are seriously considering establishing a framework for yuan-backed stablecoins. Reports indicate China's State Council is preparing a pilot arrangement for yuan-backed stablecoins that could be trialed in Hong Kong and Shanghai.

Several factors appear to be driving the shift: a large black market in USDT used to bypass foreign exchange controls; competition with US stablecoin innovation following the GENIUS Act; and China's ambition to establish payment systems offering alternatives to US and European-dominated payment rails, particularly for trade with sanctioned countries like Russia.

Hong Kong



Hong Kong made significant progress in 2025 toward establishing itself as the leading hub for cryptoasset and blockchain innovation in the Asia-Pacific region. The year was characterized by a deliberate transition from policy development to implementation, with regulators taking a cautious yet forward-looking approach that balanced high compliance standards with innovation enablement.

The regulatory landscape evolved across multiple fronts, with both the Hong Kong Monetary Authority (HKMA) and the Securities and Futures Commission (SFC) implementing and consulting on new measures and expanding their supervisory reach.

A key feature of Hong Kong's approach was its reliance on regulatory sandboxes to test and refine policies before full rollout, demonstrating a commitment to evidence-based regulation.

Authorities also took proactive steps to facilitate banking sector integration with digital assets while protecting consumers from unregulated products.

Collectively, Hong Kong's regulatory developments positioned the jurisdiction as a market where sophisticated compliance frameworks and cutting-edge financial innovation could coexist, setting the benchmark for comprehensive yet flexible digital asset regulation in the region.

REGULATORY TIMELINE

January 2025

January 21: The Bills Committee in the Hong Kong Legislative Council debated the Stablecoins Bill, legislation that will provide Hong Kong with a comprehensive regulatory framework for stablecoins. The bill was expected to pass early in the year and establish the basis for the HKMA to set regulations governing the issuance of Hong Kong dollar-backed stablecoins.

January (early): The HKMA announced the launch of a Supervisory Incubator focused on enabling the HKMA to monitor banks' use of distributed ledger technology (DLT). The incubator is designed to establish a "one-stop-shop" for supervisory engagement, where the HKMA can provide banks with direct feedback on the adequacy of their risk management controls related to blockchain-based innovations..

February 2025

February 19: The SFC announced the launch of the ASPIRe Framework (Access, Safeguards, Products, Infrastructure, and Relationships), a five-pillar roadmap for oversight of the cryptoasset industry containing 12 distinct initiatives.

May 2025

May 21: The HKMA published draft guidelines for the supervision of licensed stablecoin issuers, subject to consultation through June 30. The guidelines set out requirements for reserve management, issuance and redemption, financial resources, risk management, and technology-related risks.

May 21: The Hong Kong Legislative Council passed the Stablecoin Bill, establishing the legislative foundation for the HKMA's stablecoin regulatory regime.

May 26: The HKMA published a consultation on proposed AML/CFT requirements for stablecoin issuers. The requirements include obligations to identify whether holders use unhosted wallets, conduct ongoing monitoring, apply Travel Rule requirements and conduct due diligence on VASPs.

June 2025

June 27: The SFC launched a consultation on the regulation of virtual asset dealers and custodians, running through August 29. The proposals would require OTC trading services (including brokerages, asset managers, cash-for-crypto services and ATMs) and custody service providers to obtain SFC licenses and comply with AML/CFT and other regulatory requirements.

August 2025

August 1: Hong Kong's stablecoin regulatory regime came into effect. The HKMA published its Guideline on the Supervision of Licensed Stablecoin Issuers, covering reserve asset management, issuance and redemption requirements, financial resources (including HK\$25 million minimum paid-up capital) and risk management.

The HKMA also published its Guideline on AML/CFT, requiring issuers to implement risk-based transaction monitoring and blockchain analytics to screen wallets and identify suspicious activity.

Expert perspective

"Hong Kong has emerged as a leader in the APAC region and globally when it comes to digital asset innovation, and has laid a foundation for its financial sector competitiveness well into the future. The willingness of regulators in Hong Kong to establish clear and comprehensive guidance for stablecoin issuers in particular is a welcome development that will help create confidence among the private sector. Hong Kong's approach is particularly well-suited for fostering the institutional adoption of stablecoins, and will serve as a model for other jurisdictions both regionally and globally."



David Carlisle, VP of Policy and Regulatory Affairs, Elliptic

● September 2025

September 8: The HKMA issued a letter to the Hong Kong Association of Banks seeking views on proposals for implementing Basel Committee standards on the prudential treatment of banks' cryptoasset exposures.

The consultation, open through October 10, addresses capital requirements for licensed banks holding digital assets, including stablecoins, for clients. Where issuers demonstrate sufficient risk management, tokens may qualify for lower bank capital requirements for custody services.

September 25: The HKMA posted a warning on WeChat messaging app that no yuan-backed stablecoins have been approved for issuance in Hong Kong, despite claims on social media. The warning aimed to prevent consumers from being misled into purchasing unregulated or fraudulent stablecoins.



📅 REGULATORY TIMELINE

● February 2025

February 2: Economic Affairs Secretary Ajay Seth stated in a Reuters interview that India is aware other countries' attitudes toward cryptoassets are shifting, particularly in the US following President Trump's election, and that India may need to reconsider its existing policy stance as crypto markets evolve globally.

Seth's statement suggested the Indian government is willing to revisit a policy paper on cryptoassets that had stalled since mid-2024 and reconsider taking a more open stance to the technology.

● October 2025

Early October: Reports indicated the Reserve Bank of India (RBI) will engage with commercial banks on a tokenized deposit pilot program. The project will use a wholesale central bank digital currency (CBDC) the RBI developed, the e-rupee, to facilitate settlement between participating banks when transferring tokenized certificates of deposit (CDs).

The announcement suggests India's response to stablecoin innovation will involve focusing on tokenized financial instruments and CBDCs as alternatives to pure cryptoassets.

Japan



REGULATORY TIMELINE

January 2025

January 14: Japan joined the US and South Korea in issuing a joint statement warning about North Korea's crypto thefts. The three governments identified thefts attributable to North Korea totaling more than \$600 million in 2024 alone, including the \$235 million theft from Indian exchange WazirX. The statement urged the blockchain industry to ensure robust cybersecurity measures and warned of North Korea's deployment of covert IT workers at blockchain companies.

Malaysia



REGULATORY TIMELINE

January 2025

January 16: Prime Minister Datuk Seri Anwar Ibrahim offered remarks during a visit to Abu Dhabi about the need for Malaysia to ensure its regulatory framework is up-to-date and fit-for-purpose "so we aren't left behind."

Malaysia has operated an AML/CFT regime for cryptoassets but has not yet implemented a comprehensive framework including consumer protections and market conduct requirements. The PM's remarks suggest awareness that regional neighbors like Hong Kong and Singapore have made substantial progress.

Singapore



REGULATORY TIMELINE

May 2025

May 30: The MAS published a consultation response document indicating that digital token service providers (DTSPs) — defined as anyone operating from Singapore or incorporated in Singapore but carrying on business providing digital token services outside Singapore — must

suspend or cease operations by June 30, 2025. MAS stated it will only license DTSPs in "extremely limited circumstances" owing to perceived risks of regulatory arbitrage, money laundering, terrorist financing, and other financial crime risks.

South Korea



South Korea underwent a significant policy transformation in 2025 following the election of President Lee Jae-myung, whose administration prioritized positioning the country as a competitive force in digital asset innovation within the Asia-Pacific region.

The accelerating pace of global regulatory developments (particularly the passage of the US GENIUS Act) prompted South Korean policymakers to compress their legislative timeline dramatically, with major banking consortiums announcing plans for won-backed stablecoin launches.

However, this innovation push created tension with the Bank of Korea, which advocated for a more measured approach citing financial stability concerns. The central bank's decision to pause its CBDC pilot reflected the broader policy debate about how to balance innovation ambitions with prudential oversight in the rapidly evolving digital payments landscape.

REGULATORY TIMELINE

January 2025

January 15: Press reports indicated South Korea's Financial Services Commission (FSC) is actively discussing plans for introducing draft legislation on cryptoassets in the second half of 2025. The FSC determined that further legislative updates

are needed to ensure sufficiently robust investor protections and promote soundness and stability of domestic crypto trading platforms, including increased disclosure and reporting requirements for exchanges listing new assets.

June 2025

June 4: President Lee Jae-myung took office, with policy priorities including opening South Korea's cryptoasset market to greater innovation by permitting spot exchange traded funds (ETFs) and won-backed stablecoin issuance.

June 9: Members of Lee's Democratic Party introduced legislation to create a regulatory framework for won-backed stablecoin issuers, arguing this is essential for South Korea to remain competitive in the APAC region.

Late June: Eight Korean banks, including Woori Bank and Citi Korea, announced joint plans to launch a won-backed stablecoin by early 2026.

The Bank of Korea paused its CBDC pilot project, which had involved 100,000 individuals using a digital won at domestic retailers with participation from major commercial banks. The decision reflected the bank's desire to monitor stablecoin legislation developments. Senior officials expressed concerns that stablecoins could pose financial stability risks and suggested won-backed stablecoins should only be rolled out gradually under close supervision.

October 2025

October 20: The Financial Services Commission (FSC) of South Korea won-backed payment stablecoins will be prohibited from generating interest for holders under new rules set to take effect in 2026, adopting a stance similar to the US GENIUS Act. The FSC also announced that

stablecoin issuance should be undertaken primarily by banks, with VASPs and other firms restricted from issuing stablecoins directly — measures aimed at avoiding conflicts of interest and ensuring financial stability.

Thailand



REGULATORY TIMELINE

January 2025

January 14: Thai law enforcement announced plans to block access to Polymarket, deeming it an illegal gambling site. This followed Singapore's December 2024 decision to block the crypto-based predictions market.

March 2025

March 6: The Thai Securities and Exchange Commission (SEC) announced approval of the stablecoins Tether (USDT) and USD Coin (USDC) for domestic issuance and trading with other approved cryptoassets. The change

took effect March 16. Previously, only Bitcoin, Ethereum, Ripple, Stellar and cryptoassets traded on the Bank of Thailand's Programmable Payment Sandbox were approved.

Vietnam



REGULATORY TIMELINE

June 2025

June 14: Vietnam passed legislation creating a regulatory framework for cryptoassets, effective January 1, 2026. The law provides a common definition of digital assets and requires domestic regulatory agencies to establish AML/CFT regulations for Vietnamese cryptoasset trading platforms.

The passage aims to help Vietnam secure removal from the FATF's "Grey List," which has identified the country since 2023 for strategic deficiencies including lack of an AML/CFT regime for cryptoassets.

MEET THE TEAM

The Elliptic Global Policy and Research Team

**David Carlisle**

VP of Policy and Regulatory Affairs

David is the Vice President of Policy and Regulatory Affairs at Elliptic. He brings a wealth of experience to the role, having previously worked for the US Department of the Treasury. David's expertise extends to the Asia-Pacific region, where he acted as a liaison for the Treasury when engaging with governments on financial crime issues.

**Liat Shetret**

VP of Global Policy and Regulation

Liat Shetret is VP of Global Policy and Regulation at Elliptic and has spent the past 15 years working with regulators, law enforcement and financial institutions on global anti-money laundering and counter-terrorism finance projects and programs

**Mark Aruliah**

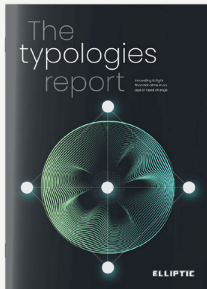
Head of EMEA Policy and Regulatory Affairs

Before joining Elliptic, Mark spent nearly 25 years at the UK's Financial Conduct Authority in various roles, most recently developing the financial markets infrastructure (FMI) cryptoassets sandbox with HM Treasury and the Bank of England.

Before that, in the Financial Crime Advisory Team, he was responsible for delivering the UK's cryptoasset amendments to the AML regulations and providing cryptoasset technical and training support to the Authorization and Supervision teams. Mark spent three years in Brussels as financial attaché in the UK's Representation to the EU. He has also been responsible for the FCA's Markets Policy regulatory engagement, when in the FCA's International Dept.

REPORTS

Other reports by Elliptic



Download



The typologies report

In this report, you'll get:

- An in-depth look at five major crime trends in the crypto ecosystem
- Red flag indicators and behavioral patterns to support early detection
- Practical case studies that illustrate how these threats unfold
- Guidance on how to use blockchain analytics to detect, investigate and disrupt illicit activity

Built on Elliptic's extensive data and intelligence capabilities, this is essential reading for staying ahead of crypto crime.



Download

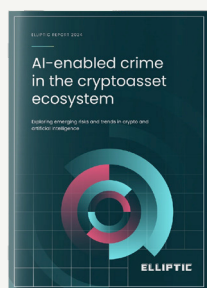


Sanctions compliance in cryptocurrencies

Over the past year, sanctions enforcement in the crypto space has continued to accelerate. We've seen further crypto related sanctions targeting Russia, and sanctions continue to be directed at mixers such as Sinbad, identified by Elliptic as a rebranded and relaunched version of Blender.io.

Compliance teams will need to be alert to potential sanctions evasion activity involving sanctioned jurisdictions such as Russia, Iran and North Korea, as well as entities and individuals on sanctions lists, and they should take these risks seriously.

Download this practical guide as we share five key steps to navigate the challenge of cryptocurrency sanctions compliance with success.



Download



AI-enabled crime in the cryptoasset ecosystem

The rise of artificial intelligence has shown huge potential for driving innovation, not least within crypto. However, as with any emerging technology, there remains a risk of threat actors seeking to exploit new developments for illicit purposes.

Supported by case studies, this report identifies five emerging typologies of AI-enabled crime in the cryptoasset ecosystem, enabling compliance professionals and investigators to monitor and mitigate the evolving risks.

By investigating these typologies, this report aims to support the sustainable, safe and secure development of both the crypto and AI sectors for the benefit of everyone.

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